

HEDGEYE DAILY DIGEST

August 13, 2026 (GMT+8) • Daily Macro Research Summary

Hedgeye is riding the monthly Quad path from **August #Quad3** into **September #Quad1** (a **3-1-2 Quad Count**), pounding the table on broadening leadership — small-cap value, dividends, equal-weight, healthcare and gold — while fading concentrated Mega-cap / AI momentum (short **DRAM / South Korea, GOOGL, AAPL**). July CPI cooled to **3.37%**, but the Nowcast sees the next print ticking **~20bps higher to ~3.57%**, so the desk trimmed **TLT / LQD** shorts to minimum size into the number while keeping the **Treasury steepener** and staying **short-dollar / long-yen / long-euro**.

Coverage note: Grouped for a **GMT+8** reader. At publish time it is early morning Aug 13 GMT+8 (evening Aug 12 EDT), so the freshest complete Hedgeye slate — the **Aug 12 EDT** session — is treated as *Today's Publications*, and the **Aug 11 EDT** session as *Yesterday's*. Hedgeye timestamps are EDT (+12h to GMT+8).

Today's Publications

EARLY LOOK — “Don't Suck During #Quad1”

Early Look · Keith McCullough · 08/12 07:35 AM EDT (08/12 07:35 PM GMT+8) · Quad Positioning: #Quad1 (3-1-2 Quad Count)

Keith opens with a **Jeremy Renner** epigraph — “I just don't do things I suck at.” — to frame the central **#Quad1** point: long-only allocators cannot afford to underperform in a Quad1, because it is the **one Quad where “Value” can beat “Growth,”** especially coming out of a **#Quad4**. The regime is **broadening** the opportunity set well beyond high-beta growth, with value, dividends, equal-weight, healthcare, insurance and REITs all participating.

With a **3-1-2 Quad Count**, the note lists what Hedgeye is long that is *not* Semis or high-beta momentum: **Gold (AAAU)**, **CLOs (CLOZ, ~9% yield)**, **High Dividend Yield (VYM, new all-time high)**, **Equal-Weight S&P 500 (RSP, new ATH while SPY fell -0.3%)**, **Healthcare (XLV, FXH)**, **REITs (XLRE)**, **Insurance (IAK)**, **Multi-Cap Alpha (FAB)**, **Dividend Aristocrats (NOBL, new ATH)**, **Mobile Payments (IPAY)**, **Core High Dividend (HDV)**, **Small-Cap Dividend Growers (SMDV, new ATH)** and **Quantum (QTUM)**.

The bearish counterpoint is concentration risk: **GOOGL** continues to signal **Bearish TRADE and TREND** and drove a **-19% impact on SPY's -0.3%** day — which Keith calls “a concentrated bet wearing a fee-hugging index costume.” The core edge is **knowing what not to own** when signals deteriorate and reallocating toward stronger **TRADE / TREND** exposures.

Investment implication: Actively reallocate out of crowded Semis / Mega-cap momentum into diversified **#Quad1** winners (dividends, equal-weight, gold, healthcare) and let the signal — not the benchmark — set the book.

Risk Range™ Signals — 08/12/26 (from “Our Levels”)

Asset	Risk Range	TREND
UST 10Y Yield	4.57 – 4.75	Bullish
High Yield (HYG)	79.07 – 79.80	Bullish
Inv. Grade Corp (LQD)	105.5 – 107.0	Bearish
S&P 500 (SPX)	7,560 – 7,899	Bullish
NASDAQ Comp (COMPQ)	25,430 – 27,130	Bullish
Russell 2000 (RUT)	2,978 – 3,075	Bullish
Health Care (XLV)	162 – 170	Bullish
S&P Equal Weight (RSP)	216.00 – 224.00	Bullish

Asset	Risk Range	TREND
Real Estate (XLRE)	44.00 – 45.75	Bullish
Volatility (VIX)	14.18 – 17.11	Bearish
U.S. Dollar (USD)	99.37 – 100.24	Bearish
WTI Crude (WTIC)	75.23 – 86.86	Neutral
Nat Gas (NATGAS)	2.58 – 2.86	Bearish
Gold (GOLD)	4,186 – 4,538	Bullish
Copper (COPPER)	6.44 – 6.80	Bullish
Silver (SILVER)	61 – 69	Bullish

Notable TREND shifts vs. 08/11: **Silver** flipped **Neutral** → **Bullish**; **WTI Crude** softened **Bullish** → **Neutral**; the table swapped **Technology (XLK)** for **Equal-Weight (RSP)** — a tell on the rotation from cap-weight tech toward broadening.

THE MACRO SHOW — Summary Notes (Wed, Aug 12)

The Macro Show · 08/12 10:42 AM EDT (08/12 10:42 PM GMT+8)

KOSPI / DRAM — bear-market bounce, still short. Hedgeye is *not* chasing semis. **KOSPI bounced +3.7%** but stayed **~28% below its highs**; the “AI alpha code” is **68/72**, needing **6,800 / 7,200** to repair TRADE / TREND. The desk wants to **short DRAM and South Korea on strength**, staying **long software** instead of “bag-holding semis” — Keith would rather own **six software names at ~3% each (~18% software)** than semis, GOOGL and AAPL (**MDB, DT, DBT** cited).

CPI / rates. July CPI came in at **3.37%**; the **2-year broke immediate-term TRADE at 4.24%**, pressuring yields. Keith expects a 48-hour “dovish Fed” narrative, but the **Nowcast** sees the next print **~20bps higher at ~3.57%**. “**Dollar Down, Gold Up**” remains a major theme; odds of a **September BOJ hike rose to 79% (from 66%)**, supporting **long yen / short USD and long euro**.

Gold & silver. **Gold** made a higher low at **4,186 / higher high 4,538** — a “big-time breakout,” and the signal is *not* saying exit into Quad1. **Silver** is a conditional breakout: bullish TREND above **66**; would buy a correction to **63**.

Broadening & positioning. Prefers “long broadening” to “Russell 2000”; buying small caps via **SMDV** and **QTUM**; **VYM** and **equal-weight (RSP)** at new highs; REITs (XLRE) lagging but a Quad1 asset. Around CPI, the desk **covered shorts and bought longs at the low end of ranges**. **GOOGL** and **AAPL** are short candidates (AAPL a bigger problem below **303**). **Japan** back to bullish TRADE / TREND; **China** still bearish; long **Philippines**, adding **New Zealand, Brazil (EWZ)** a hold. The framework: a **hybrid portfolio migrating from Quad3 toward Quad1**, with the **signal deciding the holdings**.

MOMO TRACKER — Small Caps & Dividends Becoming the Quad1 Leadership Trade

Momentum Stock Tracker · Christian Drake / Ryan Ricci · 08/12 09:16 AM EDT (08/12 09:16 PM GMT+8)

The Momentum Stock Tracker's headline reinforces the Early Look and Macro Show thesis: **small caps and dividend payers are quietly assuming #Quad1 leadership** as high-beta / Mega-cap momentum fades. The item is a data dashboard of RR Signals; its narrative is carried in the title and mirrors the day's broadening call.

CAPITAL ALLOCATION PRO — Daily Dashboard | Model Portfolios

Capital Allocation Pro · 08/12 08:29 AM EDT (08/12 08:29 PM GMT+8)

Latest **Model Portfolio changes went into effect using closing prices Monday, Aug 10**. Trend / Tail levels for the **68-ETF** universe were last refreshed on July 31 (standard 3–4 week cycle). No emailed alert — consistent with the team's “pull vs. push” philosophy (email = signal, not noise).

SIGNAL STRENGTH STOCKS — 76 Stocks (9 Added, 5 Removed)

Signal Strength Stocks · 08/12 12:00 PM EDT (08/13 12:00 AM GMT+8)

The list expands to **76 names**. **Added (9): MSFT, EFX, TWLO, ABNB, FWONK, RH, SHOP, PLTR, AWI**. **Removed (5): AFRM, PINS, ETSY, CHWY, UL**. The adds skew toward software / quality growth and select consumer / industrial names — consistent with the “own software, not semis” posture.

BITCOIN TREND TRACKER — Crypto Quant

Bitcoin Trend Tracker · Drake / Steiner / Cooper · 08/12 07:42 AM EDT (08/12 07:42 PM GMT+8)

BTC +0.7%, ETH +1.5%, ETH/ETHA = Bullish, but **spot volume and ETF flows = down**, with bidding rotating toward **US / EU vs. Asia**. Ethereum remains the preferred crypto expression over Bitcoin on relative signal strength.

Yesterday's Publications

EARLY LOOK — “Deep #Quad3 Beliefs”

Early Look · Keith McCullough · 08/11 07:38 AM EDT (08/11 07:38 PM GMT+8)

What: Flagship note laying out Hedgeye's **August #Quad3** conviction, using a Kurzweil epigraph to skewer the **\$500B “circular financing” AI deal** and Old Wall's “deep belief” in **NVDA**.

Why: #Quad3 signals were **strengthening** — oil, commodities and yields turning bullish with the **yield curve steepening to a cycle high**. **Who / referenced:** **XLV** (new #Quad3 cycle highs, +1.7%), **FXH** (all-time high); High-Beta Momentum **-3.7%**, TMT Momentum **-3.8%**, “Retail” **-1.0%** vs **SPY -0.1%**.

Key numbers: **WTI Alpha Code 80/82** (bullish TRADE / TREND); **UST 10Y Risk Range 4.61–4.76%**; **10s2s steepened to +47bps** (#Quad3 cycle high); Gold **4,166–4,484** bullish; **XLK 174–192** bullish; **Silver 56–67 (neutral)**; **WTI 75.23–87.42 (bullish)**.

Takeaway: Own the #Quad3 inflation / steepener winners (healthcare, oil, commodities, gold) and let The Machine reallocate away from mis-allocated high-beta AI momentum.

THE MACRO SHOW — Summary Notes (Tue, Aug 11)

The Macro Show · 08/11 10:25 AM EDT (08/11 10:25 PM GMT+8)

What: The most consequential change was cutting the **TLT and LQD shorts to minimum size** (not a full exit) as the **10Y (~4.73–4.74%)** neared its **4.76%** top-end range into the CPI catalyst, while **adding to the Treasury steepener (IVOL)** — **10s2s at +47bps**.

Why: Risk / reward — yields at the top of the range with a potentially dovish CPI; but next month's CPI should rise, so short-duration is kept “on a short leash.” **Who:** Top-three stocks **LLY, MSFT, AMZN**; **AAPL** barely bullish / crowded (risk below **303**), no position. Long **Philippines** (was short → covered → long), long **New Zealand**, short **Qatar**; short **USD**, long **JPY / EUR**; long **Ethereum**, not **Bitcoin** (stronger signal). Buy **gold** weakness; silver failed at **~66**.

Key numbers: XLV **+1.7%** to new highs; High-Beta Momentum **-3.7%**, TMT **-3.8%**; SPX higher low near **7,924**.
Takeaway: Rotate toward equal-weight, healthcare, dividends and small-cap value; reduce duration shorts but keep the steepener; follow TRADE / TREND over narrative.

MOMO TRACKER — Mag7 (+0.0%), ORCL/AAPL = Neutral, 7/9 RRs Downside > Upside

Momentum Stock Tracker · 08/11 08:37 AM EDT (08/11 08:37 PM GMT+8)

What / Takeaway: Mega-cap momentum was flat (**Mag7 +0.0%**) with **ORCL / AAPL neutral** and **7 of 9 Risk Ranges skewed downside > upside**, plus **0DTE curve** impacts — a cautionary read on stretched, top-heavy index leadership.

CAPITAL ALLOCATION PRO — Daily Dashboard | Model Portfolios

Capital Allocation Pro · 08/11 08:50 AM EDT (08/11 08:50 PM GMT+8)

What / Takeaway: Daily model-portfolio dashboard; no material emailed change flagged — routine maintenance within the 68-ETF framework, consistent with the “pull vs. push” cadence.

SIGNAL STRENGTH STOCKS — 72 Stocks (5 Added, 5 Removed)

Signal Strength Stocks · 08/11 01:15 PM EDT (08/12 01:15 AM GMT+8)

What: List at **72 names**. **Added (5): NVDA, DT, FCX, EL, ULTA**. **Takeaway:** A mix of semis (NVDA), software (DT), materials (FCX) and consumer (EL, ULTA) — signal strength remains granular and name-specific even as the macro call fades broad semis.

BITCOIN TREND TRACKER — Crypto Quant

Bitcoin Trend Tracker · 08/11 06:55 AM EDT (08/11 06:55 PM GMT+8)

What / Key numbers: BTC **+0.2%**; BTC/BMNR flipped (back to) **Bearish**; **Aug 14** flagged as a “**Regulation Crypto**” catalyst; note poses **TRON > ETH(?)**. **Takeaway:** Neutral-to-cautious crypto tape with a regulatory event risk on the calendar.